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Editorial Office (617) 495-2111
restat@hks.harvard.edu

EDITORIAL OFFICE:
79 JFK STREET, BOX 142
CAMBRIDGE, MASSACHUSETTS 02138
U.S.A.

August 10, 2026

Dr. Jacob Herbstman
Harris School of Public Policy
University of Chicago
by email: jherbstman@uchicago.edu

RE: MS #34391, "Regulatory Discretion and Housing Supply: Evidence from Chicago's Aldermanic Privilege"

Dear Dr. Herbstman:

The Editorial Board of the *Review of Economics and Statistics* follows a two-step procedure in reviewing manuscripts. Initially, one of the editors reads each submission to see whether the paper's content is well suited to the Review. Then, conditional on a favorable decision, the paper is sent to external referees for review.

When I received your paper using variation across alderman "stringency" to estimate how informal regulation affects permitting activity, density, and house prices/rents in Chicago, I undertook the first stage review. I like this paper a lot. There has not been much work on informal housing regulation, and the aldermanic privilege offers plausible and clever identifying variation that pairs nicely with event study and border discontinuity methodologies. In short, this is a nice paper, and I expect it will find a good home.

That being said, I am concerned about the appropriateness of the paper for the *Review of Economics and Statistics*. To provide some context, the *Review* receives over 1600 manuscripts per year, while publishing just sixty or so, which means that that means that each editor can accept only about 10 papers a year. As each editor handles submissions across a number of fields, this means that each editor aims to ask for revisions for only a couple of the very best papers in each field each year. In making this difficult decision, I prioritize papers that address fundamental questions interesting to a general economics audience and that break substantial new ground theoretically and/or empirically.

Here, I unfortunately do not think that a general audience will find that the paper surpasses this (very) high bar. My concern is as follows. Aldermanic privilege is a regulation characteristic particular to Chicago, so I don't think the contribution of the paper is to offer a new (clever) instrument that can be used more broadly. Instead, its contribution arises from the insights that the case of Chicago can generate about urban economics more broadly. Here, I worry that showing that greater stringency in permitting results in less development and higher prices, while

no doubt interesting and well identified, is not sufficient on its own to pass this (very) high bar.

In making this decision, I also reached out to an expert in the field to get their impressions of the project (comments attached).

Given their similar evaluation as my own, I have made the difficult decision to reject this paper. That being said, I agree with this expert that I do think this aldermanic privilege identifying variation has a lot of potential, and so I want to echo the expert's desire to use this variation to tackle a bigger picture question. I think that would be really exciting.

Although this will be disappointing news to you, please keep in mind that with such a low acceptance rate, I aim to reject between seventy to eighty percent of the articles I handle during this first step of the editing process. I believe this approach is, while no doubt imperfect, ultimately beneficial to authors and saves scarce reviewer time.

While we are unable to further consider your paper for publication, we do appreciate your submission and hope you will continue to send future work to the *Review*. I wish you good luck in finding an appropriate outlet for your paper.

Sincerely,

Treb Allen
for the Board of Editors

Attachments: 3